

Project Plan - Thesis

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1 Problem Description & Research Question

Problem Description: While non-dilutive financing and public mega-funds have historically been a cornerstone of European technology and innovation financing, their net contribution to developing globally competitive companies is increasingly questioned. This thesis investigates whether prolonged reliance on these mechanisms has fundamentally altered the dynamics of early-stage venture development. The core argument is that such funding creates market distortions—specifically temporal, cognitive, and structural—that delay venture cycles, lead to structural under-capitalization, and prevent the emergence of a self-reinforcing venture flywheel.

Primary Research Question: To what extent does the prevalence of public financing and non-dilutive funding in Europe create market distortions that hinder the commercialization and global scaling of technology startups?

1.1 Supporting Sub-Questions:

SQ1: How do public grant cycles and reporting requirements (Temporal Distortion) influence the speed and entry points of private venture capital?

SQ2: How does the availability of "soft" funding alter founder behavior and KPI prioritization (Cognitive Distortion)?

SQ3: In what ways do public equity stakes and mismatched valuation-to-maturity ratios (Structural Distortion) affect the risk-return profile for private investors?

2 Intended Learning Objectives

To achieve the grade 12, the following objectives must be met to an excellent degree:

2.1 Mandatory Learning Objectives

- Delineate a relevant topic: Clearly define the boundaries of public financing within the MSc Technology Entrepreneurship field.
- Select and apply scientific theories: Utilize theories such as Market Distortion, Signal Theory, or Agency Theory to analyze the research.
- Substantiate methods: Justify the 3-tier qualitative interview approach and the research design.
- Ensure logical coherence: Align the problem statement on market distortion directly with the analysis of stakeholder interviews and final conclusions.
- Discuss results: Critically evaluate the empirical findings gathered from the different stakeholder groups.
- Extract practical implications: Provide actionable advice for policy makers and founders regarding the optimal use of public capital.
- Communicate effectively: Present the research clearly in both written form and during the oral defense.
- Argue for choices: Justify the focus on "Market Distortion" over other potential theoretical lenses.
- Reflect on limitations: Acknowledge the boundaries of the explorative study and qualitative data.
- Work independently: Demonstrate academic development and specialization in innovation finance.

2.2 Project-Specific Objectives

- Distortion Mapping: Develop the ability to categorize and measure qualitative "friction points" in the venture cycle caused by public intervention.
- Global Benchmarking: Master the ability to contrast the European "Lender/Partner" model with the US "Lead Customer" (DARPA) and Chinese "Strategic Architect" models.
- Synthesis of Divergent Views: Critically synthesize the often-conflicting perspectives of public fund managers, private VCs, and entrepreneurs.
- Policy Critique: Evaluate existing European policy frameworks (e.g., EIC, EIF) against the theoretical framework of market efficiency.

3 Time Plan

Phase	Activity	Duration	Dependencies
I. Foundation	Literature review and Global Benchmarking (US/China)	4 weeks	None
II. Preparation	Designing interview guides and participant outreach	2 weeks	Phase I completion
III. Data Collection	Conduct 12–15 interviews (Fund Managers, VCs, Founders)	6 weeks	Participant access
IV. Analysis	Thematic coding of transcripts for the three distortions	3 weeks	Phase III completion
V. Writing	Drafting the findings, discussion, and counterfactual analysis	4 weeks	Phase IV completion
VI. Review	Final editing, supervisor feedback, and submission	2 weeks	All phases complete

Table 1: Caption